

Where the Selling Went

S&P -0.10% as semis steady ahead of Micron's after-close print; Dow +0.35%. Brent -4.3% drags the 10-year under 4.5% and lights up homebuilders, while the selling rotates into crypto and metals. Dividend Strategy +0.32% beats DVY and SPY; Growth -0.78%.

THE SESSION

The chip flush that defined Tuesday did not extend. Semiconductors steadied across the board — NVDA -0.52%, AMD essentially flat, TSM +1.02%, ADI +1.45%, LRCX +0.93% — as the broad tape treaded water ahead of Micron's after-the-bell report. The S&P 500 closed -0.10% at 7,358, the Nasdaq slipped 0.43%, and the Dow added 0.35% on its lighter technology weight and a sharp homebuilder rally.

Where the selling actually went was oil and the assets that key off it. Brent crude fell 4.3% to roughly \$74 and WTI to about \$70 — the lowest since early March — as tankers resumed transit through the Strait of Hormuz. That pulled the 10-year Treasury yield below 4.5%, and paired with a bipartisan affordable-housing bill clearing Congress, sent the PHLX Housing Index up 5.4% (TOL +6.67%). Energy holdings gave back with the crude move: CVX -2.57%, VLO -0.51%, DVN -1.50%.

The other pressure point was the dollar, which touched a 2026 high against a still-hawkish Fed backdrop. Non-yielding assets bore the brunt: gold fell 3.3% and bitcoin slid toward \$60,000, dragging the digital sleeve (IBIT -4.08%, ETHA -4.79%) and the miners (AEM -4.18%). On the question the morning posed — whether the AI backbone would hold its post-flush levels — the answer was yes: Asia rebounded (the Kospi recovered roughly 3%) and Wedbush's channel checks reported no change in enterprise AI demand. The defensive rotation stayed intact, which is precisely why the cash-flow names held green while the growth book gave back its commodity and digital exposure.

IOWN Tactical: A rotation is not a regime change. Tuesday's chip flush gave way to a crypto-and-commodity reset, and the durable cash-flow holdings absorbed it — which is exactly what owning quality is supposed to do. No framework trigger is in play; we stay the course and let the businesses compound.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

TOL +6.67% GROWTH PORTFOLIO

Toll Brothers led a sector-wide homebuilder surge after Congress passed a bipartisan affordable-housing bill and the 10-year yield slipped below 4.5%; the PHLX Housing Index rose 5.4% on the day.

GPC +4.00% DIVIDEND STRATEGY

Genuine Parts caught the defensive bid as rates eased and investors favored steady cash-flow names through the tech caution.

DGX +3.01% DIVIDEND STRATEGY

Quest Diagnostics extended the healthcare-led defensive rotation that carried over from Tuesday's risk-off session.

CHD +2.27% DIVIDEND STRATEGY

Church & Dwight rose with the consumer-staples bid as the rotation toward defensives held.

EIX +1.75% GROWTH PORTFOLIO

Edison International firmed as the drop in long-end Treasury yields supported rate-sensitive utilities.

ADI +1.45% DIVIDEND STRATEGY

Analog Devices helped lead the semiconductor stabilization, recovering part of the prior session's steep decline.

DECLINERS

SUPV -7.61% GROWTH PORTFOLIO

Grupo Supervielle led the day's declines as a stronger dollar and broad risk-off tone pressured emerging-market financials.

HOOD -5.87% GROWTH PORTFOLIO

Robinhood fell with the digital-asset de-risking as crypto trading volumes cooled and short interest built across recent IPO-era names.

COIN -5.10% GROWTH PORTFOLIO

Coinbase tracked bitcoin's slide toward \$60,000 amid persistent spot-ETF outflows and a leverage flush across crypto.

ETHA -4.79% DIGITAL ASSET ETF

The ether ETF fell with the broad crypto de-risking under the hawkish-Fed dollar bid; IBIT closed -4.08% alongside it.

AEM -4.18% GROWTH PORTFOLIO

Agnico Eagle declined as gold fell 3.3% on the stronger dollar and higher real yields lifted the opportunity cost of holding bullion.

FCX -3.98% GROWTH PORTFOLIO

Freeport-McMoRan slid with copper as the broader commodity complex reset alongside the crude move.

HOLDINGS NEWS

Qualcomm (Dividend Strategy) confirmed a roughly \$3.9 billion all-stock acquisition of AI-software startup Modular, announced on the same day as its investor day. Modular builds a vendor-neutral software layer that lets AI models run efficiently across chips from different makers — a direct push into the data-center software territory long anchored by Nvidia’s CUDA. The deal, led on Modular’s side by LLVM and Swift creator Chris Lattner, issues up to 19.2 million Qualcomm shares and is expected to close in the second half of 2026. QCOM still finished -3.29% as the broader chip caution and the all-stock dilution weighed on the session.

Micron reports after today’s close — the principal read-through for the semiconductor names across both books (NVDA, AMD, TSM, ADI, LRCX, QCOM, NXPI, MRVL, KEYS, TEL). After Tuesday’s memory-led flush and Wednesday’s stabilization, the guide will set the tone for the AI-infrastructure complex into Thursday’s May PCE print.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT BOTH

+0.32%

vs. DVY +0.19% | SPY -0.04%

GROWTH PORTFOLIO

✗ TRAIL

-0.78%

vs. IUSG -0.23%

YEAR-TO-DATE

Dividend +13.47% vs DVY +10.44% / SPY +7.53%

Growth +19.92% vs IUSG +8.68%